THINKING STRATEGICALLY: Umbrella Insurance

PROBLEM The most significant risk for a sole proprietor is the threat that business liabilities will become personal liabilities. To guard against that threat, sole proprietors often pay for *commercial insurance* (called a commercial general liability [CGL] policy) that would cover any liabilities related to business operations. However, much to the surprise of many business owners, commercial policies are full of *exclusions*. Exclusions are specific events that are not covered by the policy. For example, a CGL policy does not cover most contract disputes or any actions by governmental agencies charging that a business has failed to abide by regulations or statutes. Moreover, in some cases the amount of the liability may exceed the amount of the insurance policy. If a customer trips in a small retail store owned by a sole proprietor and suffers $150,000 in medical damages—exceeding the limit of the proprietor's $100,000 commercial insurance policy—the sole proprietor's personal assets are at risk for the remaining $50,000.

STRATEGIC SOLUTION Use commercial umbrella insurance to cover gaps in coverage. The umbrella policy is intended to cover any losses in the event that the primary insurance isn't sufficient to pay the full loss. This typically occurs in two situations. First, when the CGL policy is exhausted by payment of the loss, the umbrella policy "drops down" to replace the exhausted underlying protection. Drop-down coverage also may become effective when the primary insurer is in bankruptcy. Second, umbrella coverage applies when the primary CGL policy contains an exclusion that is not excluded under the umbrella policy.

Questions

1. One of the reasons that umbrella coverage is a good choice is that it is relatively inexpensive. Do some Internet research and try to determine what the approximate cost of a $1 million policy would be.
2. Although CGL policies and umbrella coverage reduce some risks, they do not cover cases in which losses are due to an alleged breach of contract. What are some legal or business strategies for avoiding that specific risk?

3. Based on the legal strategies you learned in **Chapter 1**, what category of legal strategy does umbrella coverage fall into? Why?